The growing Chinese presence and influence in its immediate neighbourhood have been a cause of serious concern in India, more so because most of the Chinese BRI projects are also perceived as being loaded with strategic underpinning and adverse security implications for India in the long run. The docking of Chinese submarines at Colombo port in 2014 and 2017; the possibility of expanding the naval facilities at Hambantota port to permit such docking there, even if under the supervision of the Sri Lankan Navy; and China's expanding control in Pakistan's Gwadar port are obvious examples. The progress in the Trans-Himalayan Multi-Dimensional Connectivity Network built with Nepal as its core under BRI will greatly facilitate China's strategic movements in the Himalayas. The Chinese presence in Maldives, Bangladesh, and Myanmar also gives China greater access and mobility in the strategically sensitive region for India in the Indian Ocean and Bay of Bengal. For India, these countries and its entire immediate neighbourhood are critical for its own security and stability, and it has never been comfortable with the strategic presence of any outside power here.

In India's assessment, there are two key factors behind the success of China's push into South Asia: 1) the alienation and resentment of immediate neighbours with India, deepened by India's muscular diplomacy and ill-conceived domestic political agenda, and 2) the lure of financial resources and efficient delivery of the Chinese projects that meet the much-needed infrastructure needs of these small neighbouring countries. The presence of a rising Asian power like China also gives them a sense of greater autonomy and strategic space in dealing with their huge Indian neighbour. India has started addressing both these challenges in what may be called its Neighbourhood First 2.0 policy recast. This is evident particularly for the past couple of years. The new twist in the "neighbourhood first" policy is characterised by: 1) putting on the back burner the